Theory case · Topic 2 · 2 points · 15 min

C17 — Vega Avionics: reasons for and types of diversification

Vega Avionics S.A. makes flight-control electronics. Its sales follow the aircraft-order cycle: in good years profits soar, in crises they collapse. The board studies three moves: (A) launching a line of electronic monitors for hospital intensive-care units, using its expertise in certified, fault-tolerant electronics; (B) opening a sales office in India to sell its current avionics to Indian aircraft makers; (C) buying a chain of hotels near airports because "it is profitable and has nothing to do with aircraft cycles".

Part (a) · 1.25 points

Give the reasons why Vega may want to diversify, and classify moves A, B and C

Firms diversify for three reasons [Slide 25]: **growth**, **risk** (diversification reduces the volatility of earnings) and **profit**. Vega's main motive is **risk**: its earnings depend on one cycle, and businesses that do not follow it would stabilise them; growth and profit are secondary motives.

Move	Form [Slide 26]	Related or unrelated
A. Hospital monitors	Horizontal diversification (new industry)	**Related**: it expands Vega's existing line of certified electronics into a new market [Slide 26]
B. Sales office in India	Geographical diversification (new market)	**Related**: same products, new market
C. Airport hotels	Horizontal diversification (new industry)	**Unrelated**: it adds a new, unrelated product line [Slide 26]

KEY POINTS

- Reasons: risk (volatile earnings tied to the aircraft cycle), growth, profit.
- A: horizontal diversification, related (shared technology).
- B: geographical diversification of existing products, related.
- C: horizontal diversification, unrelated.

Part (b) · 0.75 points

Evaluate move C with the two questions of a diversification decision

A diversification decision asks **how attractive the sector is** and **whether the firm can achieve a competitive advantage in it** [Slide 25]. Hotels near airports may be profitable, but Vega brings nothing that would give it an advantage over hotel chains: no shared technology, customers or skills. The move would lower the volatility of earnings, but shareholders could achieve that themselves by investing in hotel companies (an argument beyond the slides). Move A, related to Vega's know-how, answers both questions far better.

KEY POINTS

- The hotel sector may be attractive, but Vega has no source of competitive advantage there.
- Unrelated diversification reduces risk; whether it adds profitability depends on achieving an advantage in the new sector.